NOMURA

# JPY Weekly

Global Markets Research
9 August 2024

Foreign Exchange - Global

## Significant position unwinding, and what is USD/JPY's next move?

**Key for next week**: Japan GDP, low liquidity in summer, US CPI, retail sales and initial jobless claims.

- **Significant position unwinding, and what is USD/JPY's next move?**

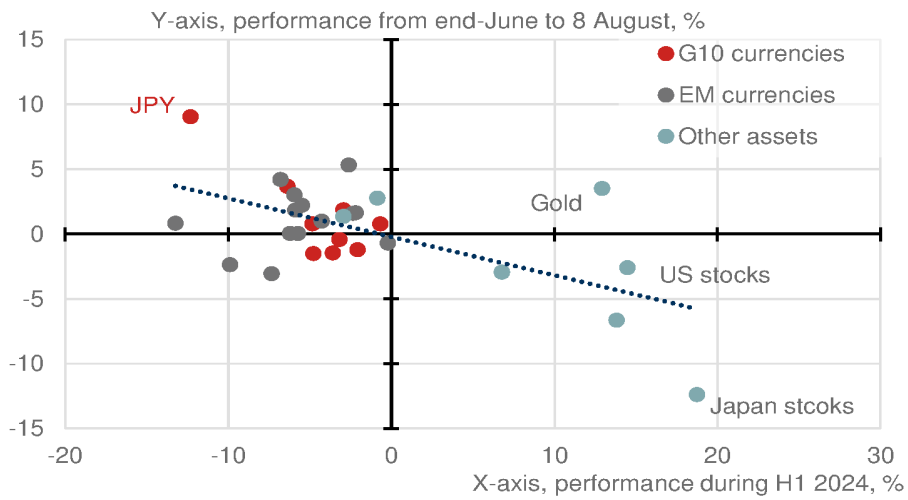
Markets seem to be gradually stabilizing after the global turmoil early this month, though uncertainty remains high. The sharp decline in USD/JPY and global stock prices early this week can be mainly attributed to rapid position unwinding, triggered by changes in the direction of monetary policy in the US and Japan, as well as softer US data last week. Indeed, recent market developments are almost opposite to what we saw during H1 2024. Hence, as the unwinding of positions progresses, further scope for a sharp appreciation of the yen will likely be smaller. But at the same time, we also believe the relentless yen-selling pressure seen until early July is likely to be behind us already. Because of monetary policy divergence between the US and Japan, and the likely deceleration of the US economy, we expect USD/JPY to gradually trend lower and settle around 143 at end-September.

- **JPY in the week ahead**

US CPI data (Wednesday) may determine the direction of USD/JPY next week, and what the market is highly likely to pay attention to. We expect *core CPI to increase by 0.1% m-o-m* (+0.077% to be precise), which should encourage the Fed to enter its rate cutting cycle from September. For events in Japan next week, preliminary GDP data for Q2 (Thursday) are the only key macro indicator scheduled. Our Japan economists forecast *real GDP to increase by a 0.9% q-o-q SAAR*, and this is unlikely to see the market's expectations about future BOJ rate hike(s) recovery significantly, in our view. JPY trading wise, we enter the *Obon* period, when many Japanese workers tend to take holidays, meaning onshore FX liquidity tends to fall. So, we need to pay close attention to possible volatile price action in USD/JPY.

- **Key JPY flow figures of the week**
- **Nomura yen-cross forecast**

**Fig. 1: Markets have reversed what happened during H1 2024**




Note: Performance of currencies is calculated against USD. Other assets include US stocks, European Stocks, Japanese stocks, US bonds, Japanese bonds, crude oils, gold.
Source: Macrobond, Nomura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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

# Significant position unwinding, and what is USD/JPY's next move?

*Markets seem to be gradually stabilizing after the global turmoil early this month, though uncertainty remains high. The sharp decline in USD/JPY and global stock prices early this week can be mainly attributed to rapid position unwinding, triggered by changes in the direction of monetary policy in the US and Japan, as well as softer US data last week. Indeed, recent market developments are almost opposite to what we saw during H1 2024. Hence, as the unwinding of positions progresses, further scope for a sharp appreciation of the yen will likely be smaller. But at the same time, we also believe the relentless yen-selling pressure seen until early July is likely to be behind us already. Because of monetary policy divergence between the US and Japan, and the likely deceleration of the US economy, we expect USD/JPY to gradually trend lower and settle around 143 at end-September.*

**Recap of this week**

- **Choppy market movements:** Following changes in the direction of the *BOJ* and *Fed's* monetary policies, as well as *the weaker-than-expected US job report for July* last week, the global market this week started off with a significant risk-off. *USD/JPY temporarily plunged below 142* while the Nikkei 225 (a Japanese stock price index) recorded the largest daily fall ever on Monday. However, due to the stronger-than-expected ISM services PMI for July and *less hawkish speech by BOJ Deputy Governor Uchida*, markets seem to be now gradually stabilizing. USD/JPY has rebounded to above 147, in tandem with global stock prices.
- **BOJ's communications:** Overall, the BOJ's hawkish tone has eased this week due to an increase in downside risk to the economy and inflation posed by recent market turmoil, but the Bank remains in its rate-hike cycle. Deputy Governor Uchida clarified that the Bank will not raise its policy rate when markets are unstable, though he emphasized the BOJ's policy reaction function has not changed. In addition, *the Summary of Opinions at the July meeting* (SOP) also indicates the Bank's willingness to deliver further rate hikes. While the SOP also listed dovish opinions to support a cautious approach based on downside risk, the BOJ board members seem to almost agree that after markets stabilize, the Bank will consider rate hikes again as long as the economy and inflation develop in line with its outlook. In this sense, we think hikes remain a matter of "when", not "if" for the BOJ.

**What is behind the recent market turmoil?**

In our view, the recent market turmoil, particularly the yen's sharp appreciation, was fundamentally triggered by changes in the direction of the BOJ and the Fed's respective monetary policies at their July meetings. The BOJ surprisingly raised its policy rate to 0.25% and showed its willingness to deliver further rate hikes. By contrast, the Fed implied it could begin cutting rates at its September meeting. Such a divergence of monetary policy between Japan and the US is likely to have caused the yen to appreciate.

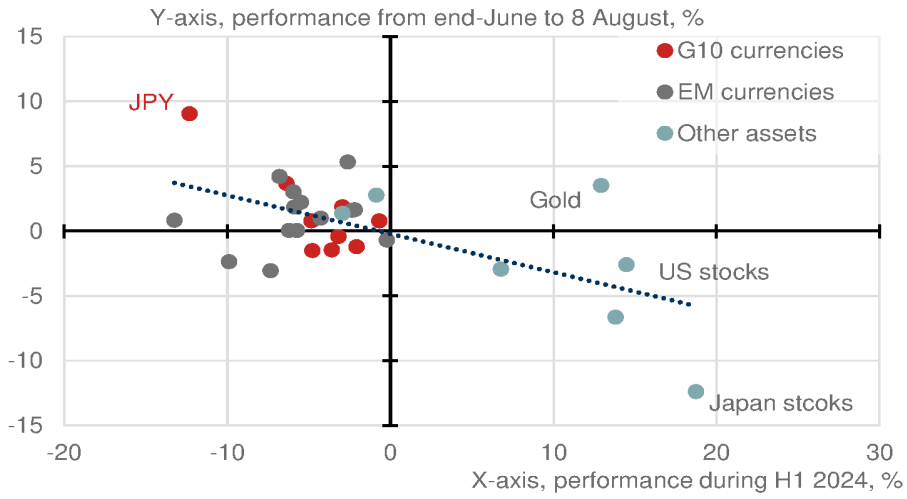
However, we believe the events of the central banks discussed above were just triggers, not the main impetus that led to a global risk-off. We could attribute the recent market turmoil to large-scale unwinding of positions, which accumulated significantly during the first half of this year.

During H1 2024, investors had been taking positions based on an optimistic view of the US economy and low volatility. In particular, investors were eager to build up yen-carry trade positions, which led to nearly the largest net short JPY positions in more than 10 years as of early July (*Fig. 3*). As a result, YTD performance of JPY against USD was the worst among the G10 currencies at end-June (*Fig. 2*).

However, the changes in monetary policy in Japan and US, as well as the recent US data, have encouraged investors to unwind their yen-carry trading positions. In *our estimate*, nearly 80% of JPY short positions as of early July are likely to have been unwound amid the recent turmoil so far (*Fig. 3*). As such position unwinding is likely to have occurred in other currencies and other asset classes, the performance of each asset from end-June to 8 August is almost opposite to that during H1 2024 (*Fig. 2*).

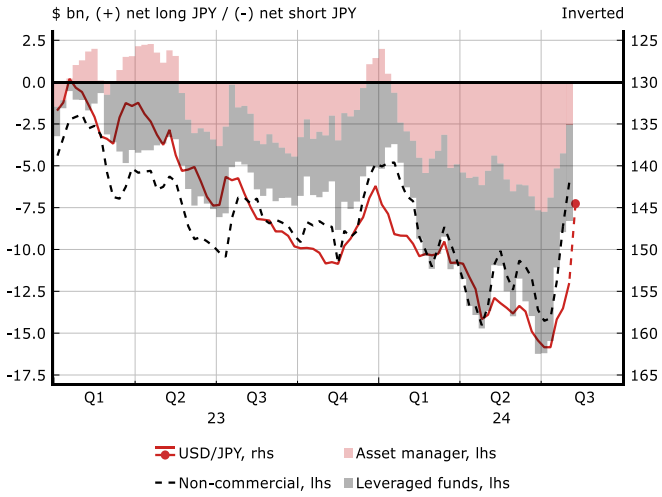
Low liquidity may also have contributed to recent high volatility. The daily average spot transaction volume of USD/JPY in Tokyo markets has tended to decline in July and August as market participants take summer holidays (*Fig. 4*). Such small transaction volumes and low liquidity may have amplified recent price movements.

**Fig. 2: Markets have reversed what happened during H1 2024**




Note: Performance of currencies is calculated against USD. Other assets include US stocks, European Stocks, Japanese stocks, US bonds, Japanese bonds, crude oils, gold.
Source: Macrobond, Nomura

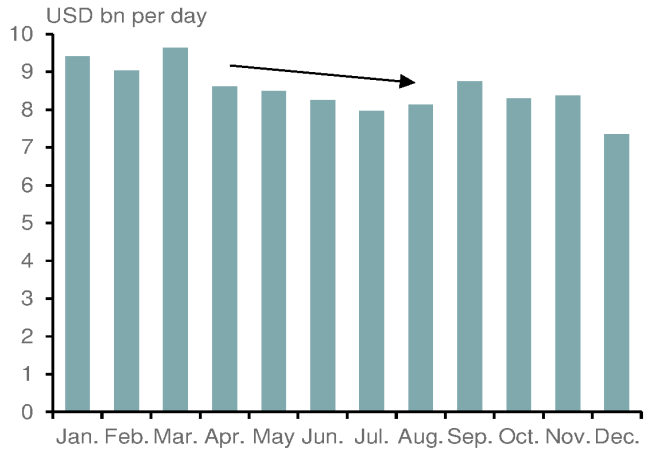
**Fig. 3: JPY net short positions based on the CFTC's data**




Note: The latest position data are as of 30 July 2024.
Source: Bloomberg, Macrobond, Nomura

**Fig. 4: Low liquidity in summer**

Average transaction volume of USD/JPY in Tokyo (2000-2023)




Note: Spot transactions via FX brokers are counted.
Source: BOJ, Nomura

### The yen's sharp appreciation is unlikely to be sustainable in the medium term

In other words, as the unwinding of positions progresses, scope for further yen appreciation falls. Based on our main scenario, in which the US economy avoids a recession, markets are likely to gradually stabilize going forward. As USD/JPY has already recovered to 147, we believe the probability that the pair tests 140 again is now low in the near term, while we should pay attention to the downside risk amid still unsteady market sentiment and low liquidity.

### Our medium-term view on JPY: USD/JPY will likely gradually trend lower

From a medium-term viewpoint, we believe the relentless yen-selling pressure seen until early July is likely to be already behind us. Given the divergence of monetary policy between the US and Japan, and the likely deceleration in the US economy, *we expect USD/JPY to gradually trend lower and settle around 143 at end-September*.

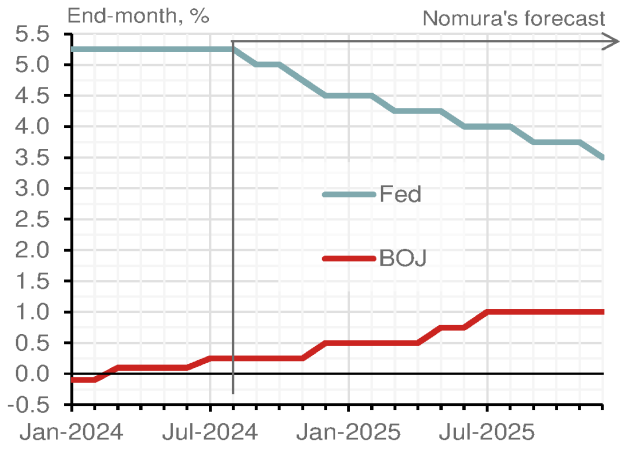
#### Key rationales for our view

- **Monetary policy divergence:** *We now expect the Fed to deliver back-to-back rate cuts for the rest of this year* and continue rate cuts on a quarterly basis toward 2026.

By contrast, based on the BOJ's communication discussed above, *the BOJ is likely to deliver three rate hikes by July 2025*, in our view (*Fig. 5*, *Fig. 6*). While USD/JPY may fluctuate depending on the market's pricing of Fed rate cuts for the time being, such monetary divergence between the US and Japan is likely to exert downward pressure on USD/JPY in the medium- to long-term.

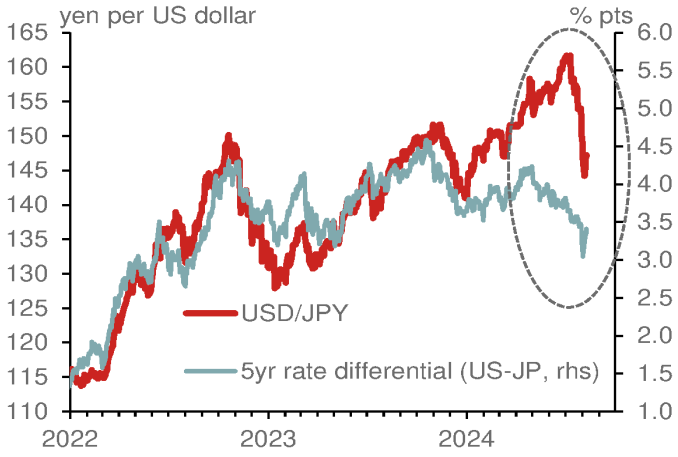
- **Less attractive yen-carry trade:** As the US-JP interest rate gap narrows due to the monetary policy divergence discussed above, yen-carry trades will likely become less attractive for investors. In addition, if implied volatility in USD/JPY remains relatively high due to the less optimistic view on the US economy than in the past, it should also lower the expected return on yen-carry trades (*Fig. 7*).
- **Japanese investors' flows:** In our base case, Japanese investors' yen-buying flows are unlikely to cause the yen to appreciate in earnest at least in the near future (see *our previous JPY Weekly*). That said, yen-selling pressure from Japanese households may ease going forward. They had been net purchasing foreign equities via investment trusts at a historically fast pace since the new NISA was introduced this year, which we believe partly contributed to the weakness in JPY until early July. However, *our high-frequency data* indicate that net inflows into the 10 largest equity investment trusts have been weakening since late July with global stock prices declining (*Fig. 8*). While their flows are likely to depend on market sentiment, in our main scenario, because of the existence of caps on annual gross purchases in NISA accounts, NISA-related flows are likely to slow toward H2 2024.

**Fig. 5: Nomura's forecast for policy rates**



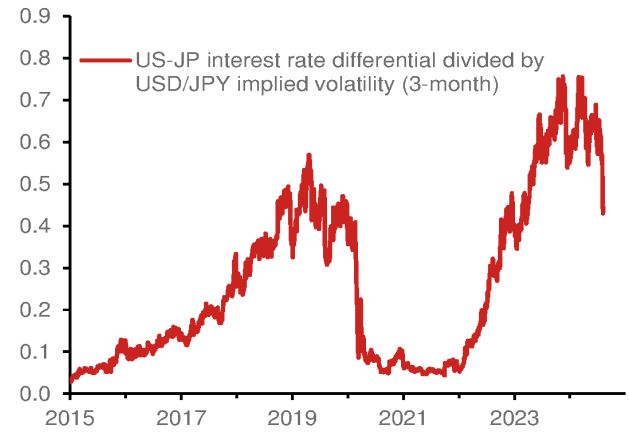

Note: The policy rate of the Fed is the lower bound of its target range of the federal fund rates.
Source: Nomura

**Fig. 6: USD/JPY and US-JP interest rate differential**




Source: Bloomberg, Nomura

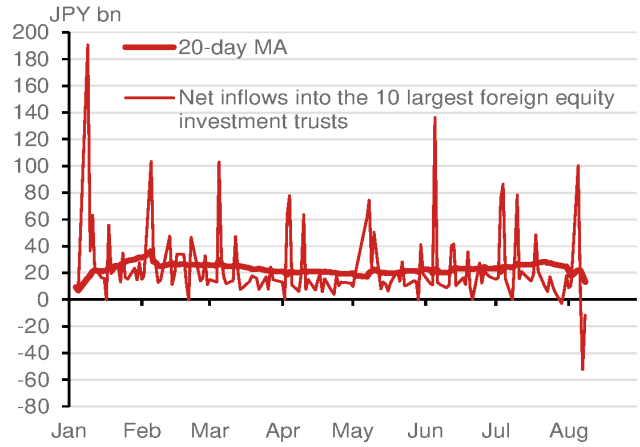
**Fig. 7: Attractiveness of yen-carry trading**




Source: Bloomberg, Nomura

**Fig. 8: NISA-related flows are weakening**

Net inflows into the 10 largest foreign equity investment trusts




Note: The latest data are as of 6 August.
Source: Bloomberg, Nomura

# JPY week ahead

## USD/JPY forecast range: 144.00 – 149.00

Volatile moves in USD/JPY continued this week, with the pair briefly falling below 142 at the start of the week, but eventually returning to around the 147 level. *Deputy Governor Uchida's rescue* and resilience in US data have managed to stabilize the market for now, although 3-month implied volatility in USD/JPY remains as high as in 2022, so it is premature to say that the market can confidently restart the yen carry trade. Whether the US data next week will further reduce market concerns about a global recession is highly important for the path of USD/JPY.

In view of this, US CPI data released next week may determine the direction of USD/JPY. Our US economists forecast *core CPI to increase by 0.1% m-o-m* (+0.077% to be precise), which should encourage the Fed to enter its rate cutting cycle from September, as well as the market maintaining the view of relatively large additional rate cuts beyond September 2024. That said, a slowdown in inflation is also likely to positively influence market risk sentiment, so the magnitude of downward pressure on USD/JPY should not be large. Elsewhere, US retail sales, weekly jobless claims, and the University of Michigan's consumer sentiment are scheduled events that will potentially affect USD/JPY next week.

For events in Japan next week, preliminary GDP data for Q2 (Thursday) are the only key macro indicator scheduled. Our Japan economists forecast *real GDP to increase by a 0.9% q-o-q SAAR*, which if it materializes, this will see Japan escape from consecutive negative growth. However, this is insufficient to conclude that the rebound is strong, and is unlikely to increase market expectations on future BOJ rate hike(s). That said, we view that *the BOJ's policy reaction function itself hasn't changed*, so we judge we aren't at an inflection point for the BOJ's rate hiking cycle yet. We maintain our view that the next hike will be in Q4 2024, for which December is more likely. JPY trading wise, we enter the *Obon* period, when many Japanese workers tend to take holidays, meaning onshore FX liquidity tends to be low. So, we need to pay close attention to possible volatile price action in USD/JPY.

But overall, with the market less inclined to re-start JPY carry trades, as well as the Fed soon likely entering its rate cutting cycle and the BOJ not terminating its rate hike cycle, we believe USD/JPY will trade heavy next week. Our latest view is *USD/JPY to settle around 143 at end-September 2024*.

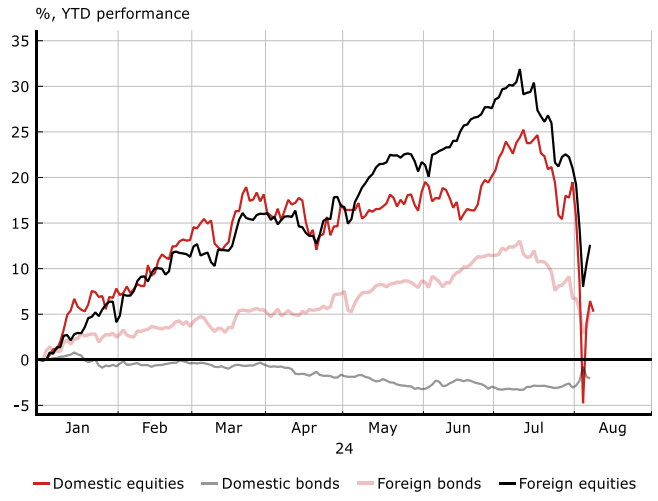
**Fig. 9: Week ahead events calendar**

| | Oceania | Asia | EMEA | Americas |
|---|---|---|---|---|
| **12-Aug** | | Japan Bank Holiday | | |
| **13-Aug** | | | **7:00 UK Employment**<br>10:00 Germany ZEW Economic Expectation Index | |
| **14-Aug** | **3:00 RBNZ Policy Meeting** | | **7:00 UK CPI**<br>7:00 Sweden CPI | **13:30 US CPI**<br>**13:30 US Jobless Claims** |
| **15-Aug** | **2:30 AU Employment** | **0:50 Japan GDP**<br>**3:00 China Industrial Production**<br>**3:00 China Retail Sales**<br>**3:00 China Fixed Asset Investment**<br>**8:00 Central Bank of Philippines Policy Meeting** | 7:00 UK GDP<br>**9:00 Norges Bank Policy Meeting** | **13:30 US Retail Sales** |
| **16-Aug** | | | 7:00 UK Retail Sales | **15:00 US Univ. of Michigan Sentiment Index** |

Source: Bloomberg, Nomura

# Key JPY flow figures of the week

**Fig. 10: YTD performance of the GPIF's benchmark indices**




Note: Each benchmark index is as follows: domestic bonds (BPI Excluding ABS Total Index); foreign bonds (FTSE Non-JPY WGBI JPY); domestic equities (Topix Total Return Index JPY); foreign equities (MSCI ACWI ex Japan Gross Total Return USD Index)
Source: Bloomberg, Nomura

**Fig. 11: GPIF's portfolio (Nomura's estimate) and current policy portfolio**

| | | Domestic bonds | Foreign bonds | Domestic stocks | Foreign stocks |
|---|---|---|---|---|---|
| Actual | end Sep 2023 | 26.6 | 24.2 | 24.5 | 24.7 |
| | end Dec 2023 | 25.8 | 24.4 | 24.7 | 25.1 |
| | end Mar 2024 | 26.9 | 23.9 | 24.3 | 24.9 |
| | end Jun 2024 | 25.8 | 24.4 | 24.4 | 25.3 |
| (a) Assuming 50% of trust account's net purchase was by GPIF | | | | | |
| **Estimate** | **latest (a)** | *28.0* | ***25.0*** | *23.0* | ***24.0*** |
| (b) Assuming 75% of trust account's net purchase was by GPIF | | | | | |
| **Estimate** | **latest (b)** | *28.0* | ***25.0*** | *23.0* | ***24.0*** |
| (c) Assuming 100% of trust account's net purchase was by GPIF | | | | | |
| **Estimate** | **latest (c)** | *28.0* | ***25.1*** | *23.0* | ***24.0*** |
| **Policy portfolio** | | | | | |
| **Current** | **Target** | **25** | **25** | **25** | **25** |
| | **Deviation limits** | **+/-7%** | **+/-6%** | **+/-8%** | **+/-7%** |
| | | **+/-11%** | | **+/-11%** | |
| *Previous* | *Target* | *35* | *15* | *25* | *25* |
| | *Deviation limits* | *+/-10%* | *+/-4%* | *+/-9%* | *+/-8%* |

Note: Calculation based on the GPIF's portfolio weight as of end-June 2024, Japanese pension funds' total securities investment in Q3, and changes in the benchmark indices from June to current.
Source: Nomura, GPIF, MOF, JSDA, JPX, Bloomberg

**Fig. 12: Weekly MOF international transactions in securities (as of 28 July – 3 August)**

| | | Latest | | | Past 12W average | | Past 12 weeks data |
|---|---|---|---|---|---|---|---|
| | | JPY bn | $ bn | Z-score | JPY bn | $ bn | |
| **Japanese investors** | Foreign equities | 1,291 | *8.8* | 2.8 | -56 | *-0.4* | |
| | Foreign LT debt | 670 | *4.6* | 0.6 | -74 | *-0.5* | |
| | Foreign ST debt | 7.1 | *0.0* | 0.1 | -65 | *-0.4* | |
| **Foreign investors** | Japanese equities | -642 | *-4.4* | -1.0 | -3 | *0.0* | |
| | Japanese LT debt | -1,160 | *-7.9* | -1.0 | -113 | *-0.8* | |
| | Japanese ST debt | -954 | *-6.5* | -0.5 | -814 | *-5.5* | |

Note: 1. Positive signs in Japanese investors' foreign securities investment could indicate that they net bought foreign securities or capital outflow from Japan. 2. Positive signs in foreign investors' Japanese securities investment may indicate that they net bought Japanese securities or capital inflow to Japan. 3. Z-scores are calculated based on the past five years' data.
Source: Nomura, MOF

**Fig. 13: Margin trading positioning at TFX**

| | | USDJPY | EURJPY | GBPJPY | AUDJPY | NZDJPY | CADJPY | ZARJPY | TRYJPY | MXNJPY | Total |
|---|---|---|---|---|---|---|---|---|---|---|---|
| 2024/8/6 (Latest) | JPYbn | -355.67 | -18.32 | -101.65 | -0.45 | 0.62 | -4.64 | 31.19 | 27.24 | 45.42 | -376.26 |
| | USDbn | -2.46 | -0.13 | -0.70 | -0.003 | 0.004 | -0.032 | 0.22 | 0.19 | 0.31 | -2.61 |
| 2024/7/30 | JPYbn | -371.10 | -22.32 | -107.50 | 0.15 | 6.16 | 1.21 | 36.80 | 38.08 | 121.50 | -297.03 |
| | USDbn | -2.43 | -0.15 | -0.70 | 0.001 | 0.040 | 0.008 | 0.24 | 0.25 | 0.80 | -1.94 |
| 2024/7/23 | JPYbn | -372.16 | -24.01 | -110.58 | -0.93 | 7.68 | 1.74 | 38.05 | 38.78 | 141.94 | -279.48 |
| | USDbn | -2.39 | -0.15 | -0.71 | -0.006 | 0.049 | 0.011 | 0.24 | 0.25 | 0.91 | -1.80 |
| 2024/7/16 | JPYbn | -386.80 | -30.00 | -117.23 | -4.93 | 7.30 | -0.35 | 35.89 | 38.04 | 155.83 | -302.28 |
| | USDbn | -2.44 | -0.19 | -0.74 | -0.031 | 0.046 | -0.002 | 0.23 | 0.24 | 0.98 | -1.91 |

Source: Bloomberg, Financial Futures Association of Japan, TFX, Nomura

***For more, please see our latest JPY Flow monitor***

***JPY Weekly Flow Monitor - Potential JPY selling flow of about JPY5trn by GPIF after the tantrum***

# Nomura yen-cross forecast

**Fig. 14: Yen-cross forecasts**

| | | 8-Aug | Q3 24 | Q4 24 | Q1 25 | Q4 25 |
|---|---|---|---|---|---|---|
| **G10** | | | | | | |
| US Dollar | (USD/JPY) | **147.2** | 143 | **148** | 146 | **140** |
| Euro | (EUR/JPY) | **160.8** | 156 | **161** | 161 | **154** |
| | (EUR/USD) | **1.09** | 1.09 | **1.09** | 1.10 | **1.10** |
| Swiss Franc | (CHF/JPY) | **170** | 164 | **168** | 164 | **154** |
| | (USD/CHF) | **0.87** | 0.87 | **0.88** | 0.89 | **0.91** |
| British Pound | (GBP/JPY) | **187.7** | 182 | **188** | 187 | **182** |
| | (GBP/USD) | **1.27** | 1.27 | **1.27** | 1.28 | **1.30** |
| Australian Dollar | (AUD/JPY) | **97.1** | 94 | **101** | 99 | **98** |
| Canadian Dollar | (CAD/JPY) | **107.2** | 104 | **108** | 107 | **104** |
| New Zealand Dollar | (NZD/JPY) | **88.5** | 86 | **92** | 91 | **90** |
| Norwegian Krone | (NOK/JPY) | **13.6** | 13.4 | **14.2** | 14.1 | **13.8** |
| Swedish Krona | (SEK/JPY) | **14.0** | 13.7 | **14.2** | 14.1 | **13.8** |
| **Asia** | | | | | | |
| Chinese Renminbi | (CNY/JPY) | **20.5** | 20.0 | **20.6** | 20.4 | **19.7** |
| Hong Kong Dollar | (HKD/JPY) | **18.9** | 18.3 | **19.0** | 18.8 | **18.0** |
| Indonesian Rupiah | (100IDR/JPY) | **0.93** | 0.91 | **0.94** | 0.93 | **0.91** |
| Indian Rupee | (INR/JPY) | **1.75** | 1.71 | **1.80** | 1.79 | **1.76** |
| Korean Won | (100KRW/JPY) | **10.7** | 10.7 | **11.3** | 11.2 | **11.0** |
| Malaysian Ringgit | (MYR/JPY) | **32.7** | 32.0 | **33.3** | 33.0 | **31.8** |
| Philippine Peso | (PHP/JPY) | **2.54** | 2.50 | **2.61** | 2.58 | **2.51** |
| Singapore Dollar | (SGD/JPY) | **111.1** | 109.2 | **113.8** | 112.7 | **110.2** |
| Thai Baht | (THB/JPY) | **4.18** | 4.04 | **4.29** | 4.27 | **4.14** |
| Taiwan Dollar | (TWD/JPY) | **4.54** | 4.48 | **4.73** | 4.69 | **4.59** |
| **Europe and Africa** | | | | | | |
| Polish Zloty | (PLN/JPY) | **37.2** | 36.2 | **37.5** | 37.4 | **35.9** |
| Turkish Lira | (TRY/JPY) | **4.38** | 4.4 | **4.6** | 4.6 | **4.4** |
| South African Rand | (ZAR/JPY) | **8.02** | 7.90 | **8.34** | 8.30 | **8.15** |
| **Latin America** | | | | | | |
| Brazilian Real | (BRL/JPY) | **26.54** | 26.4 | **27.7** | 27.5 | **26.8** |
| Mexican Peso | (MXN/JPY) | **7.80** | 7.9 | **8.3** | 8.2 | **7.9** |

Note: As of 8 August 2024.
Source: Nomura

# Appendix A-1

## Analyst Certification

We, Yujiro Goto, Jin Moteki, Yusuke Miyairi and Tomoki Hideshima, hereby certify (1) that the views expressed in this Research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this Research report, (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this Research report and (3) no part of our compensation is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

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